

standard chartered

Project Nexus: The Integrated Innovation Funnel

Introduction: Background & Motivation

- **The context**: Standard Chartered Bank faces rapid disruption driven by fintech agility, platform ecosystems, and shifting customer expectations [1].
- **The strategic response**: VC Ventures (based on SC Ventures) was established as a dedicated unit combining innovation labs, venture building, and corporate venture capital to experiment and build new business models outside legacy constraints [1].
- **The current gap**: While successful (incubating 30+ ventures to date), a critical challenge remains: scaling meaningful participation across a global workforce of 80,000+ employees [1].
- **The solution**: "Project Nexus"—a decentralized, AI-driven innovation funnel designed to transform raw employee insights into co-created ventures with external fintech partners [2].

[1] P. Anderson, "SC Ventures," INSEAD Case Study, 823-0080-1, 2024.
[2] J. Bessant and J. Tidd, *Managing Innovation*, 7th ed. Wiley, 2020.

Organisational Readiness: Leveraging Strengths

- **Optimized venture engine**: Project Nexus integrates seamlessly with the existing Incubation → Acceleration → Commercialisation pipeline [1].
- **FinTech Bridge 2.0**: Evolves from a "matching portal" into a Co-development Sandbox, enabling internal intrapreneurs and external fintechs to co-create from Day 1 [1].
- **Regulatory ”safe harbor":** Leverages VC Ventures’ unique ability to provide compliance and risk oversight, allowing 80,000+ employees to experiment without disrupting core banking operations [1].
- **Proven scalability**: Builds on the success of prior challenges (20k+ registered) by applying a tiered structure to engage the entire global workforce of 80,000+ [1].
- **Expertise blend:** Combines the bank’s deep regulatory trust with external entrepreneurial agility to ensure high-impact, market-ready ventures [3].

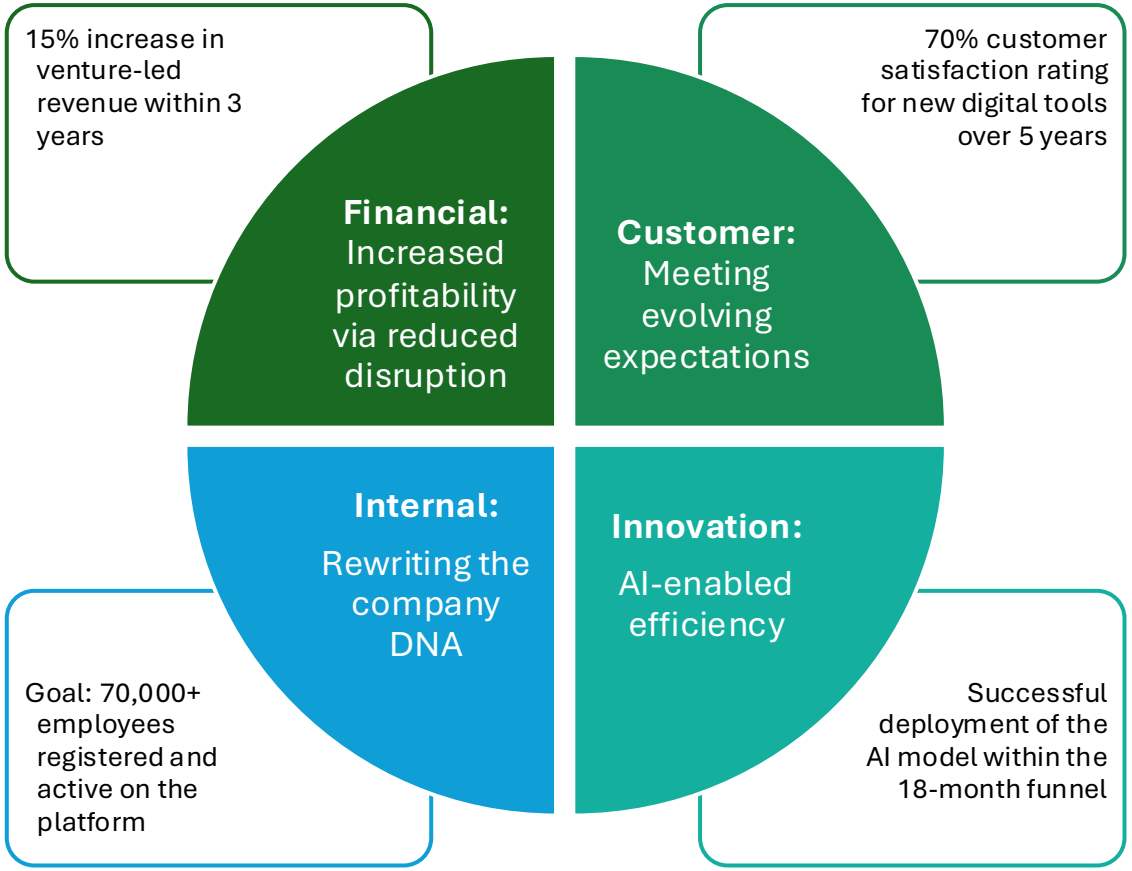


[1] P. Anderson, "SC Ventures," INSEAD Case Study, 823-0080-1, 2024.
[3] M. A. Schilling, *Strategic Management of Technological Innovation*, 7th ed. McGraw-Hill, 2023.

Strategic Context & Analysis

- **Internal analysis ("Rewiring the DNA"):** VC Ventures has successfully established four strategic themes to reconcile banking with societal expectations. By promoting internal innovation and investing in disruptive tech, the foundation is set, but the "DNA" is not yet fully integrated across all 80,000+ staff [1].
- **External analysis (The ecosystem gap):** Rising customer expectations and the speed of external fintech partners create a "Disruption Risk." While we have strong connections with external innovators, there is a gap in translating these into internal operational reality [1].
- **Timing strategy (Fast-follower):** To reduce ”pioneer risk," Project Nexus will monitor external technology trends and customer needs, then rapidly adapt these tools to support internal employee ideas once the market is ready [3].
- **Ecosystem strategy (Strategic alliances):** Transform the Fintech Bridge into a Collaborative Sandbox based on strategic alliances that pair 80,000 "Problem Owners" with external "Solution Builders" to combine unique capabilities.[3].

Balanced Scorecard [4]



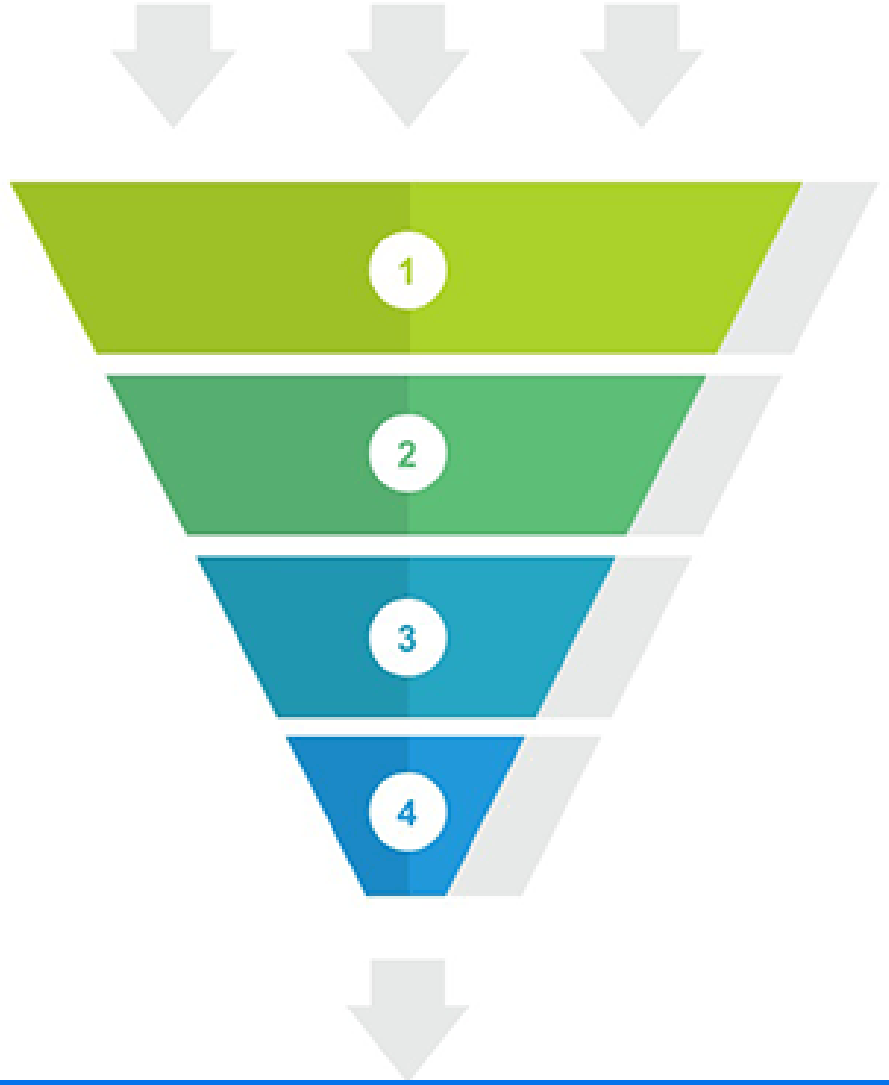
[1] P. Anderson, "SC Ventures," INSEAD Case Study, 823-0080-1, 2024.
[3] M. A. Schilling, *Strategic Management of Technological Innovation*, 7th ed. McGraw-Hill, 2023.
[4] R. S. Kaplan and D. P. Norton, "Using the Balanced Scorecard as a Strategic Management System," *Harvard Business Review*, 1996.

Protecting Value & Responsible AI

- **Appropriability strategy: The "Open-Core" Model**
  - **Open access:** The FinTech Bridge remains an open ecosystem to attract maximum participation from external partners and clients, accelerating the AI's ability to find optimal matches [5].
  - **Strategic protection:** For ventures that survive the final "Bootcamp" round, we utilize Utility Patents to protect unique functional inventions and business processes before scaling [3].
  - **Complementary assets:** Leveraging the bank's regulatory licenses and 165-year reputation to ensure the innovation is defensible against standalone startups [6].
- **Responsible AI governance (ISO/IEC 42001)**
  - **Transparency:** Implementing the ISO/IEC 42001 standard to ensure the AI matching engine is explainable and avoids algorithmic bias in team formation [7].
  - **Data integrity:** Following NIST frameworks to secure the sensitive "Pain Point" data submitted by 80,000+ employees [8].



[3] M. A. Schilling, *Strategic Management of Technological Innovation*, 7th ed. McGraw-Hill, 2023.
[5] H. Chesbrough, "Open Innovation: A New Paradigm," Oxford Univ. Press, 2006.
[6] D. J. Teece, "Profiting from technological innovation," *Research Policy*, 1986.
[7] ISO/IEC 42001:2023, "Information technology — Artificial intelligence — Management system," 2023.
[8] NIST, "AI Risk Management Framework (AI RMF 1.0)," 2023.



Phase	Timeline	Key Activities
Level 1: Discovery	Months 0–3	Launch of **"Micro-Pitch"** challenges. Low-barrier submission of one-minute pain points from 80,000+ staff.
Level 2: Synthesis	Months 4–6	**AI-Squad Formation**. Clustering ideas and auto-matching employees with external Fintech Mentors based on skill gaps.
Level 3: Validation	Months 7–9	**Virtual Bootcamp**. The top 5% of squads enter a digital accelerator with real client feedback.
Level 4: Scaling	Months 10–18	**Commercialisation**. Successful ventures receive seed funding from the VC Ventures fund and begin global rollout.

Phased Implementation Steps

Professional Communication

During the peer review sessions with Helen Jongwe and Muhammad Bhyat, I gained critical insights into executive-level pitching. I advised Helen to better anchor her innovation within the existing VC Ventures ecosystem, specifically the FinTech Bridge, to demonstrate feasibility. For Muhammad, I emphasized the need for specific partnership strategies to strengthen his collaboration model.

Observing their approaches helped me realize that my initial draft was overly focused on the technical mechanics of AI. I recognized that for an innovation to succeed across 80,000 employees, the human element—specifically building confidence and psychological safety—is as important as the tech itself. Consequently, I restructured my pitch to emphasize how the multi-round funnel reduces the 'barrier to entry' for non-technical staff. This exercise taught me that the Board values projects that are not just technically sound, but are culturally scalable and strategically aligned with the bank’s 'DNA' transformation.